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Case Number: 25STCP03649 Hearing Date: July 14, 2026 Dept: 836

Superior Court of
California

County of Los Angeles

ALAN ROY MARCUM,

Petitioner,

Case No.

25STCP03649

vs.

SUPERIOR COURT OF THE STATE OF CALIFORNIA, COUNTY
OF LOS ANGELES,

Respondent.

[TENTATIVE] RULING ON VERIFIED PETITION FOR WRIT
OF MANDATE

Dept. 836 (Hon. Curtis A. Kin)

CLIENT SECURITY FUND,

Real Party in Interest.

Petitioner

Alan Roy Marcum seeks a writ of mandate directing respondent State Bar of California—Client Security Fund to set aside its Amended Final Decision in Case No. 18-F-13067, which partially denied petitioner's application for reimbursement of funds misappropriated by disbarred attorney Aldon L. Bolanos, and remanding the matter for further proceedings.[1]

For the reasons that follow, the Petition is DENIED.

I. BACKGROUND

A.

The

State Bar Client Security Fund

The State Bar is a constitutional agency established in the judicial branch. (Cal. Const, art. VI, §9.) It is a public corporation established for the purpose of performing governmental functions in the administration of justice, which include regulation of the practice of law. (Business & Professions ("B&P") Code § 6001, et seq.)

In

1971, the State Bar's Board of Governors, now "Trustees" (the "Board"), created a victims' restitution fund, the Client Security Fund ("CSF"). (B&P Code §6140.5.) The Board created the CSF to mitigate financial injury to clients due to the dishonest conduct of California attorneys, and the Board adopted the Rules of Procedure Client Security Fund Matters ("CSF Rules") to govern administration of the Fund. As a part of this process, the Board created the "Commission to act as the Board's delegate to administer the Fund and the CSF Rules. (CSF Rule 3.421.)

The CSF

is a limited fund financed by a portion of the dues paid by active members of the State Bar. (B&P Code § 6140.55.) The maximum allowable payment per claim is \$100,000. (CSF Rule 3.434(A).) "Dishonest conduct" includes the wrongful taking of money or property. (CSF Rule 3.431(A).) It is additionally defined as a failure to refund unearned fees received in advance for services when the attorney performed an insignificant portion of the services rendered, or none at all. (CSF Rule 3.431(B).) The attorney must be disciplined or disbarred before the Commission can grant reimbursement. (CSF Rule 3.432.)

Under

the CSF Rules, proceedings are initiated when an application for reimbursement is submitted. The application is screened by counsel for the Commission, who may investigate as deemed appropriate. (CSF Rule 3.441(A).) As part of any investigation, the Commission may require supporting documentation or submission of declarations under penalty of perjury or hold a hearing as appropriate. (CSF Rule 3.441(C).) Hearings are not mandated and will be held only if the Commission concludes that such hearing is reasonably necessary. (CSF Rule 3.443(C); Saleeby v. State Bar (1985) 39 Cal.3d 547.)

A

written Tentative Decision will be issued by CSF Counsel and served upon the applicant and attorney. (CSF Rule 3.443(A).) The Tentative Decision shall include a statement of the findings or reasons for the decision to grant or deny the applicant's request for reimbursement. (CSF Rule 3.443(A).) The parties have 30 days to lodge any written objection to the Tentative Decision, which must state the legal or factual grounds for the objection and may include supporting documentation, a request for oral hearing, or additional declarations under penalty of perjury in lieu of an oral hearing. (CSF Rule 3.443(B).) Instead of granting an oral hearing, the Commission may require submission of declarations under penalty of perjury. (CSF Rule 3.443(C).) If no objection to a Tentative Decision is received, the Tentative Decision may be deemed final. (CSF Rule 3.443(D).)

When a

party makes a timely written objection to the Tentative Decision, the Commission will provide the parties an opportunity to submit objections, requests, or declarations in response to the Tentative Decision and will consider such submissions relevant to the application before issuing a Final Decision. (CSF Rule 3.444(A).) If it deems it necessary, the Commission may also require additional investigation or conduct an oral hearing before issuing a Final Decision. (CSF Rule 3.444(A).) The Final Decision must be in writing and may deny reimbursement or direct reimbursement under conditions deemed appropriate. (CSF Rule 3.444(B).)

The

Commission has sole and final authority to determine whether and to what extent any application for reimbursement should be granted. (CSF Rule 3.421(A).) The Commission must evaluate applications for reimbursement solely by reference to

the CSF Rules. (CSF Rule 3.420(B).) Even if an application meets the requirements for reimbursement under CSF Rule 3.430, CSF Rules explicitly provide that the Commission and its Fund Counsel "have the discretion to deny or limit reimbursement." (CSF Rule 3.430(D); see also CSF Rule 3.420(C).)

A Final Decision of the Commission to grant or deny reimbursement to an applicant may be reviewed in the Superior Court pursuant to CCP § 1094.5. (CSF Rule 3.450; Saleeby, 39 Cal. 3d 365.)

B.

Application
for Reimbursement

On April 25, 2018, petitioner submitted an Application for Reimbursement to CSF, seeking reimbursement of \$100,000 for Bolanos' alleged conduct. (AR 2-5 [Application], 6-214 [Application Attachments], 215 [Notice of Receipt].) Petitioner stated in the application that he had retained Bolanos on two separate matters on January 5, 2015, and April 1, 2015. (AR 6, 84, 85.)

The first representation concerned a FINRA (Financial Industry Regulatory Authority) matter, and petitioner obtained a six-figure settlement. (AR 8, 63.) Of this settlement amount, petitioner received \$319,721.13. (AR 8, 64-70.) A portion of the remaining settlement amount was retained by Bolanos to pay for fees incurred in connection with the first representation, and petitioner contended that what remained was improperly retained for advance payments in the second action, which concerned claims for elder abuse and wrongful death. (AR 6, 84.) Petitioner further contended that, in connection with the first representation, he was entitled to \$5,000 Bolanos obtained but kept from the settlement of a fee dispute petitioner had with one of petitioner's former counsel in his FINA dispute. (AR 8, 71-78.)

In connection with the second representation, petitioner also claimed that Bolanos charged illegal fees because the retainer violated MICRA, which, in petitioner's view, required Bolanos to prove that he is entitled to a reasonable fee pursuant to Business and Professions Code § 6147. (AR 6.) Petitioner additionally claimed that he was entitled to receive \$3,010, which was a portion of a retainer refunded to

Bolanos. (AR 8.)

On August 12, 2020, petitioner supplemented his application with a further statement and additional exhibits, which included his bank records, invoices received from Bolanos, payments made to Bolanos, and the work performed by Bolanos. (AR 614-620 [8/12/2020 Statement]; 621-994 [Attached Exhibits].) On June 29, 2022, CSF sought further information from petitioner regarding his application for reimbursement, and, on the same day, petitioner provided his response. (AR 1026, 1027.)

In connection with its investigation, on August 24, 2022, CSF acquired information corroborating that petitioner was supposed to receive \$5,000 for the first action. (AR 1046-1058.) On August 25, 2022, CSF subpoenaed records relating to Bolanos' client trust account at JPMorgan Chase Bank for the period January 1, 2015 through December 31, 2017. (AR 1193-1199.) On September 13, 2022, JPMorgan Chase provided its response to the subpoena. (AR 1207-1327.)

C.

CSF's Determination

On

May 9, 2023, the Commission issued its Tentative Decision, proposing to reimburse petitioner in the amount of \$5,000 based on the finding that the record demonstrated Bolanos engaged in dishonest conduct as defined under CSF Rule 3.431(A) by improperly retaining a settlement payment from petitioner's prior attorney. (AR 219-25.)

The Commission found that petitioner did not show that he was entitled to reimbursement for any additional amounts claimed. (AR 223-24.) The Tentative Decision notified petitioner and Bolanos that they had 30 days to object to the decision pursuant to CSF Rule 3.433(B). (AR 219.) Only Bolanos submitted a timely objection. (AR 258-61.) After review of Bolanos' objection, the Commission issued a Final Decision on August 17, 2023, which upheld the Tentative Decision. (AR 240-43.)

Because

petitioner did not receive actual notice of the Tentative Decision (AR 265-68), CSF provided petitioner and Bolanos with additional time to submit written objections to the Tentative Decision. (AR 278, 247-248.) Between November 23, 2023, and April 15, 2025, petitioner provided a written objection and additional records. (AR 265-68, 284-575, 583-93.)

On June

24, 2025, after reviewing the additional information submitted by petitioner and Bolanos, the Commission issued its Amended Final Decision, which continued to find that petitioner was entitled to reimbursement of the \$5,000 settlement payment only. (AR 247-54.) In the Amended Final Decision, the Commission denied petitioner's request for an oral hearing, finding that petitioner had an opportunity to be heard through the submission of written objections and evidence. (AR 249, 253.) The Commission explained that, under CSF Rule 3.430, reimbursement may be obtained for a loss caused by dishonest conduct of an attorney as defined in the CSR rules. CSF Rule 3.431(A) defines dishonest conduct as theft or embezzlement of money, the wrongful taking or conversion of money or property, or a comparable act. (AR 249.) CSF Rule 3.431(B) includes a dishonest conduct the failure to refund unearned fees received in advance for services, where the attorney performed an insignificant portion of the services or none at all. (AR 249.) CSF Rule 3.431(B) states explicitly that any other instances of an attorney's failure to return an unearned fee or the disputed portion of a fee are not reimbursable under the CSR Rules. (AR 249.)

The

Commission found that petitioner demonstrated eligibility for reimbursement of the \$5,000 settlement, because Bolanos failed to provide this amount to petitioner. (AR 250.) With respect to petitioner's other contention that Bolanos failed to disburse \$37,980 from the first representation's settlement, the Commission found that these amounts had been paid towards legal costs and that petitioner failed to show Bolanos had wrongfully retained those funds. (AR 223, 250.)

As

for petitioner's contention that Bolanos charged illegal fees in connection with the second representation, the Commission found that Bolanos's retention of such fees was not illegal under MICRA (Medical Injury Compensation Reform Act) because MICRA's limitations on fees as a percentage of recovery did not apply, as the second representation did not result in any recovery for petitioner. (AR 251.) Consequently, the Commission did not find that Bolanos wrongfully retained or stole any funds within the meaning of CSF Rule 3.431(A) for purposes of petitioner obtaining reimbursement. (AR 251.)

The Commission, however, did find

that the fee agreement for the second representation did violate Business and Professions Code §

6147 in that it did not limit fees in accordance with MICRA. (AR 252.) As observed by the Commission, in such circumstances, petitioner was entitled to void their fee agreement in favor of petitioner's counsel receiving a "reasonable fee for the legal services he provided." (AR 252; see Bus. & Prof. Code § 6147(b).) As further noted by the Commission, however, it was beyond the scope of the proceedings and the CSF Rules "to assess the quality of an attorney's legal services and, thereafter, assign a dollar value to those services." (AR 252.) Further, observed the Commission, petitioner still would not qualify for reimbursement under the CSF Rules because it found that Bolanos performed more than an insignificant amount of legal services, which meant that petitioner did not establish a reimbursable loss of attorney fees within the meaning of CSF Rule 3.341(B). (AR 252.)

On September 22, 2025, petitioner filed the instant Verified Petition for Writ of Mandate.

II. DISCUSSION

A.

Standard of Review

Under

CCP § 1094.5(b), the pertinent issues are whether the respondent has proceeded without jurisdiction, whether there was a fair trial, and whether there was a prejudicial abuse of discretion. An abuse of discretion is established if the agency has not proceeded in the manner required by law, the decision is not supported by the findings, or the findings are not supported by the evidence. (CCP § 1094.5(b).)

In

determining whether the findings were supported, the Court reviews CSF's determinations for substantial evidence, as an applicant for reimbursement has no property right or other fundamental vested right in the Client Security Fund, whose funds are paid out on a discretionary basis. (Johnson v. State Bar, (1993) 12 Cal.App.4th 1561, 1566-67.) "Substantial evidence" is relevant evidence that a reasonable mind might accept as adequate to support a conclusion (California Youth Authority v. State Personnel Board (2002) 104 Cal.App.4th 575, 585) or evidence of ponderable legal significance, which is reasonable in nature, credible and of solid value. (Mohilef v. Janovici, (1996) 51 Cal.App.4th

267, 305, n.28.)

An

agency is presumed to have regularly performed its official duties (Evid. Code §664), and the petitioner therefore has the burden of proof. (Steele v. Los Angeles County Civil Service Commission, (1958) 166 Cal.App.2d 129, 137.) “[T]he burden of proof falls upon the party attacking the administrative decision to demonstrate wherein the proceedings were unfair, in excess of jurisdiction or showed prejudicial abuse of discretion. (Afford v. Pierno, (1972) 27 Cal.App.3d 682, 691.)

B.

Merits

Petitioner

raises various arguments as to why the CSF's decision should be set aside and why remand is necessary. Such arguments include: (1) the certified administrative record is fatally incomplete (Pet. Br. at 4-5; Reply at 2); (2) the findings by CSF are not supported by the evidence (Pet. Br. at 5-10; Reply at 3-8); and (3) the CSF violated petitioner's right to procedural due process (Pet. Br. at 10-11; Reply at 8-9). The Court shall address these arguments in turn.

1.

The

Administrative Record

Petitioner

asserts that the Certified Administrative Record prepared by CSF is incomplete. (Pet. Br. at 4-5; Reply at 2-3.) The Court disagrees.

As

stated in CCP §

1094.6(c), “the complete record of the proceedings . . . shall include the transcript of the proceedings, all pleadings, all notices and orders, any proposed decision by a hearing officer, the final decision, all admitted exhibits, all rejected exhibits in the possession of the local agency or its commission, board, officer, or agent, all written evidence, and any other papers in the case.” Moreover, as provided under CCP § 1094.5(e), the Court may remand a case for further consideration where relevant evidence could not have been produced in the exercise of reasonable diligence or that was improperly

excluded at the hearing.

Here,

CSF certified the contents of the administrative record as being complete. (See 2/2/26 (Notice Regarding Certification and Contents of the Administrative Record, Ex. A.) While petitioner claims in his opening brief that certain bank records have been omitted from the administrative record (Pet. Br. at 4-5) and asserts on reply that CSF's statement of completeness amounts to circular logic (Reply at 2-3), petitioner fails to show that the bank records were improperly excluded by CSF to warrant relief under CCP § 1094.5(e).

In particular, petitioner asserts

that the administrative record omits

bank statements belonging to Bolanos for the period of January through June 2015. (Pet. Br. at

4-5) The Court recognizes

that CSF issued a subpoena on August 25, 2022, seeking bank records from JPMorgan Chase encompassing that date range. (AR 1193-99 [Subpoena].) Upon review of the response provided by JPMorgan Chase and the declaration of the custodian of records on September 13, 2022, it is clear that the subpoenaed bank records included in the administrative record are those records that were provided by JPMorgan Chase in response to the subpoena. (AR 1207-09 [Response Letter].) As stated by the custodian of record in connection with JPMorgan Chase's response, "the enclosed records are a true and correct copy of the original documents kept by the Bank in the ordinary course of business." (AR 1208.) The letter further indicated that "[h]ere is the information that fulfills your request on the matter referenced above." (AR 1207.) A table of contents was also provided with regard to the records produced in connection with the subpoena. (AR 1209.) The following categories were listed: (1) a "Checking - Signature Card," starting on page 1; (2) "Statement and/or Items," starting at page 2; and (3) an "Addendum," starting at page 120. The documents that directly follow the table of contents are numbered from 1 to 119. (AR 1210-1327.) Taking into account the custodian of records' declaration and the table of contents, the only logical and reasonable conclusion is that those are the only records provided to CSF and that the records provided did not include any bank records corresponding to the period of January through June 2015, as JPMorgan Chase not longer kept in its possession such records.

In

reply, petitioner asserts that "if

Chase did not produce them, CSF has not explained why it treated the production response as sufficient and decided the claim without the requested source records covering receipt and initial disposition of the settlement funds."

(Reply at 2:23-25.) Petitioner fails to cite to any legal authority that would impose such a duty upon CSF. Rather, as provided by CSF Rule 3.441(A), "[t]he Fund may investigate an application as it deems appropriate." Nowhere in the CSF Rules is there any requirement for CSF to provide an explanation as to why it did not conduct further investigation. Simply put, CSF had no duty or obligation to investigate the bank's production of records any further.

Petitioner

also fails to persuasively articulate why the transaction ledger in the record (AR 1200-06) is insufficient for the period January through June 2015.

While petitioner asserts that the source records are necessary to identify the "origin of funds, the instrument of deposit, or the disposition of entrusted client funds" (Pet. Br. at 5:7-10), the transaction ledger includes the exact amounts that were either deposited into or transferred from the account, as well as a description indicating whether the transfers were to another checking account or for an online payment. Although the ledger does not identify the source of the deposited funds, there does not appear to be any genuine doubt as to the veracity or accuracy of the listed deposits. In review of the bank statements that were produced, the information contained therein is similar to what appears on the transaction ledger. Thus, there is no indication that the source records would have provided any additional relevant information.

For the first time on reply, petitioner asserts that he provided CSF with a "USB drive containing a spreadsheet breaking down each of the Bolanos invoices to identify the duplicate and false charges," which does not appear in the administrative record. (Reply at 3:13-19; AR 614, 617, 1038.) Generally, new legal argument is not permitted in reply papers. (Jay v. Mahaffey (2013) 218 Cal.App.4th 1522, 1537-38.) Even if the Court were to consider such newly raised argument, the Court would find that the claimed substance of the evidence is not relevant to warrant relief under CCP § 1094.5(e).[2]

As discussed above, reimbursement through CSF is only available where the loss resulted from dishonest conduct as defined in CSF Rule 3.431. Improper billing practices and inaccurate billing entries do not fall within the categories of "dishonest conduct" for which reimbursement is authorized under the CSF Rules.

Petitioner argues that Bolanos's conduct amounts to wrongful taking per CSF Rule 3.431(A). (Reply at 4:1-10 [citing Johnson v. State Bar (1993) 12 Cal.App.4th 1561, 1565-66].) However, petitioner's reliance on Johnson is misplaced. The dishonest conduct described in Johnson, i.e., retaining payment where no work has been performed, would directly fall under CSF Rule 3.431(B). If CSF Rule 3.431(A) were read to include improper billing entries within its definition of theft and embezzlement as "dishonest conduct," then the Commission would be reduced to the role of acting as a fee arbitrator and evaluator of the value of legal services rendered, which is not its intended function under the CSR Rules. (See CSF Rules 3.430(B), 3.431; AR 224, 252.)

Accordingly,
the Court finds that the certified administrative record is not incomplete.

2.
CSF's
Findings

Petitioner
contends that the Amended Final Decision amounts to an abuse of discretion because the financial records showed that Bolanos failed to lawfully retain client funds and that the Commission applied the wrong legal standard in evaluating his loss (Pet. Br. at 5-10.) Neither argument is persuasive.

With
respect to the first claim, petitioner asserts that the Commission failed to address Bolanos' repeated depletion of trust funds and should have analyzed the "financial evidence under the legal standards governing entrusted client funds." (Pet. Br. at 6-7.) Petitioner clarifies on reply that the Commission was required "to identify the reasonable value of the services" rendered and to perform a transaction-specific analysis. (Reply at 4:11-15.) Petitioner fails to cite any meaningful authority imposing such a duty on the Commission. Further, as discussed above, the purpose of the CSF is to provide reimbursement for losses from "dishonest conduct" as defined under CSF Rule 3.431. In raising his "transaction-specific" analysis, petitioner disputes portions of fees paid to Bolanos based on disputed performance by Bolanos, which is expressly not within the scope of "dishonest conduct" under the CSF Rules (CSF Rule 3.431(B).) While the Court acknowledges there may be inconsistencies with certain invoices (AR 704-09, 958), this does not allow for reimbursement under the CSF Rules.

As

for the second claim, petitioner asserts that the Commission applied the wrong legal framework by not evaluating “whether entrusted funds were removed from trust before being earned.” (Pet. Br. at 9:19-20; Reply at 8:1-16.) The distinction that petitioner seeks to create through this argument is of little assistance to petitioner in light of the narrow circumstances pursuant to which reimbursement is permitted under the CSF Rules. Even if true that Bolanos may have violated ethical and professional responsibilities in managing his client trust account, such conduct about which petitioner complains amounts to purportedly improper advancing of fees prior to earning them, but, per CSF Rule 3.430(B), fees paid advance may only be reimbursed by CSF if it is shown that the attorney had performed an insignificant amount of the services or none at all, which was not the case here. In reply, petitioner argues that there are discrepancies in the billing entries and contends the Commission should have reconciled these conflicts. (Reply at 4-6.) However, as discussed above, that role would reduce the Commission to the role of fee arbitrator and evaluator of services rendered, which is not its function.

Lastly, as an aside, the Court

notes that petitioner argues that the Commission did not address the \$3,010 third-party refund, and that, on reply, he asserts that CSF failed to investigate the matter appropriately as it had done with the \$5,000 settlement reimbursement. (Pet. Br. at 8:22-23; Reply at 9:8-22.) The Court finds these arguments lack merit. The third-party refund was addressed in the Tentative Decision (AR 223), and the Amended Final Decision incorporated the tentative by reference. (AR 253.) Moreover, there is no discrepancy in how CSF chose to investigate the third-party refund as compared with the \$5,000 settlement. The latter was investigated because petitioner had provided the settlement agreement showing that he was entitled to that settlement. (AR 1027 [Pet. 6/29/22 Letter to CSF], 1028-34 [Settlement Agreement].) This warranted CSF to investigate the matter with petitioner’s former attorney, Lendrum. (AR 1046-49 [CSF’s Communications with Lendrum and Copy of Check].) By contrast, to support his claim to the \$3,010 refund, petitioner provided only his own statement and emails showing that a retainer was paid to an expert witness. (AR 966-68, 1027.) No document was provided to show that a refund was actual provided.

Accordingly,

the Court finds that petitioner has fail to establish any abuse of discretion by the CSF.

3.

Due

Process

Petitioner argues that his due

process rights were violated based on the contention that he was not provided with a meaningful opportunity to be heard.

(Pet. Br. at 10-11.) Specifically, petitioner asserts that CSF denied his multiple requests for a hearing. (AR 249, 262-65, 268-74, 277.) This argument ignores the fact that CSF is not required to provide a hearing. CSF Rule 3.443(B) states in pertinent part that, when submitting a timely objection to the CSF's Tentative Decision, it "may include supporting documentation; a request for an oral hearing; or, in lieu of a request for an oral hearing additional declarations executed under penalty of perjury fact." Furthermore, the Notice of Tentative Decision informed petitioner explicitly that "the Client Security Fund Commission may not necessarily grant a request for an oral hearing." (AR 219.)

CSF's established procedures are consistent

with due process, as "[a] formal hearing, with full rights of confrontation and cross-examination is not necessarily required." (Saleeby, 39 Cal.3d at 565 ["[W]e conclude that the bar is not required to hold a formal hearing, but it required to give petitioner and other applicants an opportunity to respond to the bar's proposed disposition of the request for reimbursement"].) Here, in lieu of a hearing, petitioner was able to provide a response to the Tentative Decision on February 6, 2025. (AR 284-307 [Response], 332-557 [Exhibits].)

Petitioner also provided a rebuttal to Bolanos' response. (AR 583-93.) The Commission acknowledged the submission of petitioner's objection, which included a substantial amount of information and documents information. (AR 248, 253.)

In light of petitioner's ability to

submit a thorough response to the Proposed Decision, he had ample opportunity to be heard. (Saleeby, 39 Cal.3d at 565.) Accordingly, petitioner's due process rights were not violated.

III. CONCLUSION

The

Petition is DENIED. Pursuant to Local Rule

3.231(n), respondent shall prepare, serve, and ultimately file a proposed

judgment.

Date: July
14, 2026

HON.
CURTIS A. KIN

[1] The State Bar is erroneously named as the
real party in interest in the petition.

As petitioner challenges the State Bar's decision, the State Bar is the
respondent.

[2] Petitioner has not provided the Court
with a copy of the spreadsheet, and, thus, the Court relies on reference made
in the August 12, 2020 letter relating to the spreadsheet. (AR 614-20.)